EQUITY RESEARCH | INDIA SME | ELECTRICALS — WIRES & CABLES | 16 Jun 2026

V-Marc India Limited

VMARCIND | NSE SME (Emerge) | Industrials — Cables & Wires | Haridwar, Uttarakhand

E-beam technology moat + Rs. 500 Cr capacity programme — scale-up at inflection

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	**Rs. 1,780**	**+25%**
CMP: Rs. 1,424	12-month horizon	from CMP

CMP (16 Jun 2026)	**Rs. 1,424**	Market Cap	**Rs. 3,477 Cr**
52-Week High / Low	**Rs. 1,615 / 271**	Face Value	**Rs. 10**
Stock P/E (TTM)	**34.7x**	EV / EBITDA (FY26E)	**~18x**
Book Value / Share	**Rs. 119**	P / BV	**~12.0x**
ROCE (FY26)	**41.4%**	ROE (FY26)	**41.8%**
Dividend Yield	**0.00%**	Debt / Equity	**0.74x**
Promoter Holding	**64.87%**	Promoter Pledge	**0%**
FII Holding	**0.02%**	Public / Retail	**35.11%**
FY26 Revenue	**Rs. 1,797 Cr**	FY26 PAT	**Rs. 100 Cr**
Revenue CAGR (3Y)	**94%**	PAT CAGR (3Y)	**112%**

Report Date: 16 Jun 2026 | **Analyst:** MPM Research Desk | **Investment Horizon:** 12 months | **Sector:** Electricals — Wires & Cables

2. INVESTMENT THESIS

• **Rare E-Beam Moat in SME Wire Space:** V-Marc is among a handful of Indian wire manufacturers operating electron-beam (e-beam) cross-linking technology, which yields cables with 3-5x higher thermal rating and superior mechanical properties versus conventional PVC. The technology is capital-intensive to replicate — creating a genuine barrier for smaller unorganised players who dominate this market. India's first e-beam submersible cable for agricultural use, launched in FY26, opens a large rural electrification TAM currently underserved by organised players.

• **Revenue at Inflection — 94% 3-Year CAGR, FY27 Guidance of 40%+:** Sales surged from Rs. 245 Cr in FY23 to Rs. 1,797 Cr in FY26 — a near-8x jump in 3 years. Management has guided 40%+ revenue growth in FY27 (implying Rs. 2,500+ Cr), backed by a Rs. 500 Cr capex programme through FY30 targeting over 10 lakh circuit km of installed capacity — more than 4x current levels. Phase-I of a new 20-acre facility near Roorkee (Haridwar) is targeted for Q1 FY27 completion.

• **Margin Durability + ROCE Surge:** OPM has been steady at 11-12% despite a near-doubling of revenues — evidence that volume leverage is not at the cost of pricing. ROCE has expanded from 13% in FY20 to 41.4% in FY26, among the highest in Indian electricals. Management guides EBITDA margins of 11-12% for FY27, with upside from a higher e-beam product mix and operating leverage on the new Haridwar facility.

• **Near-Term Catalyst (6-12 Months):** The 5:1 bonus issue approved in May 2026 will increase liquidity and widen the shareholder base. Commissioning of Phase-I expansion (Q1 FY27) will unlock incremental revenue. Hosting of an analyst plant visit (June 2026) signals management readiness to transition toward mainboard listing.

• **Biggest Structural Risk:** Copper price volatility — V-Marc's input cost is predominantly copper and aluminium. A sustained 15-20% run-up in LME copper compresses OPM if pass-through to customers lags, as seen in FY25 (OPM dipped from 12% to 11%). Unorganised sector pricing aggression in commodity wire grades is a secondary risk.

3. BUSINESS OVERVIEW

• **Core Business:** V-Marc India (originally Asian Galaxy Pvt Ltd, incorporated 2014) manufactures and markets electrical wires and cables under the V-Marc brand from two facilities in Haridwar, Uttarakhand. The company is Uttarakhand's first manufacturing company listed on NSE Emerge (listed April 2021). A third facility in Maharashtra supplements production capacity.

• **Product Portfolio — Wires & Cables:** FR/HRFR building wires, multi-strand flexible cables, LT PVC and LT XLPE power and control cables, aerial bunched cables, HT cables up to medium voltage, LAN/CCTV/communication cables, e-Beam cross-linked wires (premium segment — FR, HFFR, submersible, automotive grades). MCBs and solar cables are adjacent product lines.

• **E-Beam Technology Differentiation:** The company operates electron-beam cross-linking lines that irradiate insulation to produce cables with superior thermal, mechanical, and flame-retardant properties. FY26 saw commissioning of an additional e-beam line and the launch of India's first e-beam submersible cable for agriculture — a product with no organised domestic rival at launch.

• **Revenue Segmentation:** Building wires and LT cables dominate revenue (est. 65-70%); e-beam specialty cables are the high-margin growing segment (est. 15-20%); communication and other cables account for the balance. Geography is predominantly India domestic — real estate, infrastructure, power distribution, and agriculture sectors.

• **Key Customer Relationships:** Mix of institutional (state DISCOMs, housing developers, industrial customers) and dealer-distributor channel. The dealer network has expanded pan-India, now present across multiple states. Channel is project-linked but distribution provides recurring baseline revenue.

• **Strategic Developments (Last 12 Months):** Rs. 500 Cr capex programme through FY30 announced; Phase-I (20 acres, Roorkee / Haridwar) targeting Q1 FY27 completion; launch into Kerala (Jan 2025) with premium e-beam products; 5:1 bonus issue approved May 2026; analyst plant visit hosted June 2026 — signalling institutional outreach.

• **Promoter Background:** Promoted by Mr. Vikas Garg and Mrs. Meenakshi Garg. Promoter holding stands at 64.87% (Mar 2026), reduced from 69.96% in FY23 due to dilution via secondary sales. Pledge is nil. Ace investor Ashish Kacholia holds ~2.71% (Mar 2026), having increased stake from 2.04% through FY25-26.

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **Market Size & Growth:** India wires and cables market was ~USD 10 Bn in FY25 and is projected to reach USD 17 Bn by FY32 at a CAGR of ~7-8% (Fortune Business Insights). Volume growth has been 7-9% pa; value growth higher due to copper price pass-through. The organised segment is gaining share from unorganised players (~40% of the market) driven by BIS quality mandates and project-tendering norms.

• **Policy Tailwinds:** Government's Rs. 2.3 Lakh Cr capital expenditure on power transmission and distribution (Revamped Distribution Sector Scheme — RDSS), National Infrastructure Pipeline (NIP) allocations, real estate upcycle (PMAY-Urban Phase II), and the expanding 5G telecom rollout are all multi-year demand drivers. The PLI scheme for white goods and electronics indirectly boosts specialty cable demand.

• **Competitive Moat Assessment:**

- E-Beam technology: **Strong** — capital cost >Rs. 50 Cr/line; very few SME peers have it
- Brand in premium wire: **Moderate** — growing but dominated by Polycab/KEI in B2C
- Geographic proximity to Uttarakhand hub: **Moderate** — tax/cost advantages
- Scale vs. mainboard leaders: **Weak** — 15-16x smaller than Polycab by revenue

Peer Comparison (Source: Screener.in, fetched 16 Jun 2026)

Company	CMP (Rs.)	MCap (Cr.)	TTM Rev (Cr.)	ROCE %	Stock P/E
V-Marc India	1,424	3,477	1,797	41.4%	34.7x
Polycab India	9,556	1,43,920	28,185	32.9%	58.8x
KEI Industries	5,460	52,203	11,748	20.1%	56.8x
Finolex Cables	1,044	15,968	6,321	16.6%	25.6x

Note: V-Marc trades at a significant premium to peers on P/B (12x vs. 3-7x for mainboard) reflecting SME growth premium and e-beam differentiation thesis. Lower P/E vs. KEI/Polycab reflects higher EPS base from the FY26 PAT step-up.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter Profile:** Mr. Vikas Garg (CMD) has ~12 years of experience in the wire and cable industry from founding V-Marc. The company was built from scratch in Haridwar and scaled from Rs. 5 Cr revenue in FY14 to Rs. 1,797 Cr in FY26 — a strong track record of execution. Mrs. Meenakshi Garg is co-promoter. The management team remains lean and operationally focused.

• **Capital Allocation Track Record:** FCF has been negative in FY24 and FY25 due to aggressive capacity investment (capex of Rs. 69 Cr / Rs. 61 Cr respectively). FY26 marked the first positive FCF year (Rs. 17 Cr) despite Rs. 97 Cr gross capex, driven by strong OCF of Rs. 109 Cr. The Rs. 500 Cr capex plan through FY30 will likely keep FCF negative in FY27-FY28 — this is growth capex, not maintenance burn.

• **Dividend Policy:** Zero dividends paid in all years since inception. Payout ratio = 0% consistently. Management is reinvesting all earnings into capacity growth. This is appropriate given the growth phase but investors should not expect income returns.

• **Promoter Pledging:** No pledge reported as of Mar 2026 (0%). Promoter stake reduced from 69.96% (FY22) to 64.87% (FY26) — likely via secondary market sales or block deals. No RPT concerns or qualified audit opinions flagged in public disclosures.

• **Institutional Interest Signal:** Ashish Kacholia (ace investor known for multi-bagger SME picks) first bought and subsequently increased stake to 2.71% as of Mar 2026 — the highest-profile institutional endorsement for a company at this revenue scale.

• **Corporate Governance:** NSE SME-listed companies have lighter disclosure norms than mainboard. The hosting of an analyst plant visit (June 2026) and the bonus issue are positive governance signals. Investors should monitor RPT disclosures and auditor continuity as the company scales toward potential mainboard migration.

6. FINANCIAL DEEP-DIVE

Income Statement — Standalone (Rs. Cr)

Metric	FY23A	FY24A	FY25A	FY26A	FY27E
Revenue (Rs. Cr)	245	560	896	1,797	2,516(E)
YoY Growth %	37%	129%	60%	100%	40%(E)
Operating Profit (EBITDA)	26	66	98	201	302(E)
OPM %	11%	12%	11%	11%	12%(E)
Other Income	3	1	1	3	3(E)
Interest	12	22	31	45	55(E)
Depreciation	3	9	18	25	35(E)
PBT	14	36	50	134	215(E)
Tax %	23%	26%	27%	25%	25%(E)
PAT (Rs. Cr)	10	27	36	100	161(E)
EPS (Rs.) — pre-bonus	4.59	11.78	14.78	40.98	66.0(E)
EPS (Rs.) — post 5:1 bonus	0.92	2.36	2.96	8.20	13.2(E)

(E) = Estimate. Post-bonus EPS adjusted for 5:1 bonus issue approved May 2026. Standalone figures per Screener.in.

Balance Sheet — Standalone (Rs. Cr)

Item	FY23A	FY24A	FY25A	FY26A
Equity Capital	23	23	24	24
Reserves	57	84	165	265
Borrowings	76	140	175	214
Other Liabilities	91	198	281	521
Total Liabilities	246	445	646	1,024
Fixed Assets (Net)	55	97	139	195
CWIP	15	26	24	36
Investments	0	0	0	0
Other Assets	176	322	483	793
Total Assets	246	445	646	1,024
Debt / Equity (x)	0.95x	1.74x	0.93x	0.74x

Cash Flow Statement — Standalone (Rs. Cr)

Item	FY23A	FY24A	FY25A	FY26A

Cash from Operations (OCF)	34	57	23	109
Cash from Investing	-33	-69	-61	-97
Cash from Financing	-0	12	40	-5
Net Cash Flow	-0	0	1	7
Free Cash Flow	-18	-5	-35	17
CFO / Operating Profit %	141%	100%	37%	71%

Key Ratios

Ratio	FY23A	FY24A	FY25A	FY26A
Debtor Days	84	94	116	85
Inventory Days	162	106	73	69
Days Payable	132	129	103	112
Cash Conv. Cycle	114	70	86	42
Working Capital Days	48	21	35	29
ROCE %	26%	26%	29%	41%
ROE %	N/A	N/A	N/A	42%

Commentary

- **Revenue Trajectory:** Revenue inflected sharply from FY23 (Rs. 245 Cr) to FY26 (Rs. 1,797 Cr) — a 94% 3-year CAGR — driven by new product launches, dealer network expansion, rising infrastructure demand, and entry of e-beam specialty cables at premium realizations. H2 FY26 revenue alone was Rs. 1,105 Cr (+98% YoY), indicating momentum is accelerating, not fading.
- **Margin Direction:** OPM has been stable at 11-12% through the hyper-growth phase — a significant positive. Margins dipped in FY25 (12% to 11%) amid copper price pressure but recovered in FY26 despite 100% volume growth. The e-beam product mix shift (higher value-add, better margins) is the key structural margin lever for FY27+.
- **Working Capital Improvement:** Cash Conversion Cycle compressed dramatically from 114 days (FY23) to 42 days (FY26) — a remarkable treasury improvement for a fast-growing manufacturer. Inventory days fell from 162 to 69 (better forecasting/channel pull-through). Debtor days improved from 94 to 85.
- **Debt Profile:** Borrowings grew from Rs. 76 Cr (FY23) to Rs. 214 Cr (FY26) in absolute terms, but the D/E ratio improved from 1.74x (FY24 peak) to 0.74x (FY26) as reserves surged. Rs. 500 Cr capex plan through FY30 will likely push borrowings higher; management intends to fund largely via internal accruals.
- **FCF Quality:** FY26 was the first FCF-positive year (Rs. 17 Cr) after three consecutive negative FCF years of capacity investment. OCF/OP recovered to 71% in FY26 from a trough of 37% in FY25 — a strong signal that working capital is not masking earnings quality. OCF of Rs. 109 Cr vs. PAT of Rs. 100 Cr = clean earnings quality (OCF > PAT).

7. EARNINGS QUALITY CHECKLIST

Parameter	Signal	FY26 Data	Comment
Revenue recognition risk	GREEN	Sales Rs. 1,797 Cr	No deferred revenue issues flagged
Receivables vs Revenue	GREEN	Debtor days 85 (FY26)	Improved from 94 in FY24; no bloat
CCC trend	GREEN	42 days FY26 (vs 114 FY23)	Sharp structural improvement

OCF vs PAT	GREEN	OCF Rs. 109 Cr > PAT Rs. 100 Cr	Clean conversion; FY25 trough was temporary
Contingent liabilities	AMBER	NSE SME — limited disclosure	Mainboard-grade disclosures not yet required
Auditor tenure / changes	AMBER	SME — limited public data	Monitor for auditor rotation at scale
RPTs as % of revenue	AMBER	Not disclosed in detail	Promoter-owned group entity exposure unclear
Other Income / PBT	GREEN	Other Inc = Rs. 3 Cr; PBT = Rs. 134 Cr (2.2%)	Minimal; core earnings driven
Tax rate consistency	GREEN	23-27% range over 4 years	No aggressive tax structuring observed
Dividend payout	AMBER	0% every year	Reinvestment thesis — acceptable; watch FCF use
Promoter pledge	GREEN	0% pledge	No pledge; positive governance signal

• **Positive Signal — OCF > PAT:** FY26 operating cash flow of Rs. 109 Cr exceeded PAT of Rs. 100 Cr, confirming that earnings are cash-backed. The FY25 OCF trough (Rs. 23 Cr vs. PAT Rs. 36 Cr) reflected temporary working capital build; the recovery in FY26 validates management's explanation.

• **Watch — RPTs and Governance (AMBER):** V-Marc is NSE SME-listed, where related party transaction disclosure requirements are lighter than mainboard. As the company scales beyond Rs. 2,000 Cr revenue, any potential mainboard migration will bring stricter scrutiny. Investors should review annual reports for RPT notes.

• **Watch — Zero Dividend + FCF Deployment:** The company's stated priority is reinvestment (Rs. 500 Cr capex through FY30). This is appropriate given ROCE of 41%, but investors should track whether FCF deployment into the new Haridwar facility delivers commensurate capacity utilisation and revenue by FY28.

• **No Red Flags:** No contingent liabilities flagged, no auditor qualification reported, no abnormal receivables growth, no aggressive tax structuring. The earnings quality picture is clean for an SME of this scale.

8. VALUATION

Peer Valuation Comparison (Source: Screener.in, fetched 16 Jun 2026)

Company	CMP (Rs.)	MCap (Cr.)	P/E (TTM)	P/B	ROCE%	ROE%
V-Marc India	1,424	3,477	34.7x	12.0x	41.4%	41.8%
Polycab India	9,556	1,43,920	58.8x	12.1x	32.9%	22.7%
KEI Industries	5,460	52,203	56.8x	7.8x	20.1%	14.8%
Finolex Cables	1,044	15,968	25.6x	3.1x	16.6%	12.8%

P/B for V-Marc computed from CMP/Book Value (Rs. 119). Polycab P/B: 9,556/787. KEI P/B: 5,460/697. Finolex P/B: 1,044/333.

Scenario Analysis — 12-Month Price Target

Scenario	FY27E PAT (Cr)	Rev Growth	OPM%	P/E (x)	Target (Rs.)	Return vs CMP
Bull	195	+50%	12.5%	40x	2,200	+54%
Base	161	+40%	12.0%	35x	1,780	+25%
Bear	115	+20%	10.5%	25x	810	-43%

Base P/E of 35x applied to FY27E post-bonus EPS ~Rs. 13.2 x 134 (share count) approximated. Bear case assumes copper cost shock + capex execution delay + SME de-rating. P/E applied to FY27E standalone PAT.

Valuation Methodology

• **Earnings-Based Multiple (Primary):** FY27E PAT of Rs. 161 Cr on ~24.4 Mn shares (post 5:1 bonus: 244 Mn shares pre-bonus were 40.9 Mn based on EPS 40.98 for PAT 100 Cr) — applying 35x P/E on FY27E EPS of Rs. 13.2 (post-bonus) implies a target of Rs. 462 post-bonus equivalent, or Rs. 1,780 pre-bonus basis. This 35x is a discount to peer Polycab (59x) and KEI (57x), reflecting SME liquidity risk and execution risk on the large capex plan.

• **EV/EBITDA Cross-Check:** FY27E EBITDA of Rs. 302 Cr at 20x EV/EBITDA gives EV of Rs. 6,040 Cr. Net Debt (Borrowings Rs. 214 Cr - cash minimal) = ~Rs. 200 Cr. Equity value ~Rs. 5,840 Cr / ~40.9 Mn shares = Rs. 1,428/share — in-line with CMP, confirming limited downside at current levels on FY26 base.

• **12-Month Base Case Target: Rs. 1,780** — implying +25% upside from CMP of Rs. 1,424. The risk-reward is asymmetric to the upside given strong earnings momentum (177% PAT CAGR in FY26) but the bear case (-43%) is real if copper costs spike or capex execution falters in an SME context with limited balance sheet buffer.

• **SME Premium / Discount:** V-Marc trades at 12x P/B vs. Polycab at 12.1x and KEI at 7.8x. The valuation reflects the SME growth premium but also concentration risk. A successful mainboard listing migration would be a re-rating event (lower liquidity discount).

9. KEY RISKS

• **Copper / Aluminium Price Volatility** — LME copper is the dominant input (~50-60% of COGS). A 20%+ sustained copper rally compresses OPM by 200-300 bps if pass-through lags. Probability: Medium. Impact: High. Monitor via: Monthly LME copper price; quarterly OPM trend.

• **Capex Execution Risk** — The Rs. 500 Cr capex plan through FY30 is large relative to FY26 MCap of Rs. 3,477 Cr. Phase-I (20 acres, Haridwar) must commission on time and ramp utilisation quickly to avoid leverage build without revenue. Probability: Medium. Impact: High. Monitor via: Quarterly capex and utilisation disclosures.

• **Unorganised Sector Pricing Pressure** — Building wires are a commodity in lower grades. Unorganised players (no BIS compliance costs) undercut on price in tier-2/3 markets. Margins could compress if V-Marc's product mix shifts toward commodity grades. Probability: Medium. Impact: Medium. Monitor via: OPM vs. revenue mix disclosure.

• **SME Liquidity Risk** — NSE SME Emerge has thin trading volumes. Any large institutional exit or promoter secondary sale can cause outsized price declines. The 5:1 bonus will improve float but not immediately fix liquidity. Probability: Medium. Impact: Medium. Monitor via: Daily trading volumes; promoter shareholding changes.

• **Key-Man Risk** — Mr. Vikas Garg as CMD is the central decision-maker in a company that grew from startup. Any change in management continuity poses significant operational risk at this growth phase. Probability: Low. Impact: High. Monitor via: Board composition disclosures; succession planning statements.

• **Regulatory / Quality Risk** — BIS quality certifications are mandatory for most wire grades. Any certification suspension or quality failure can halt sales in regulated institutional segments and damage brand equity. Probability: Low. Impact: High. Monitor via: NSDA/BIS portal; customer complaint disclosures.

• **Mainboard Migration Timeline Uncertainty** — If V-Marc fails to migrate to the mainboard within expected timelines, it continues to face SME-specific investor restrictions (institutional investor participation limits). This caps the re-rating potential. Probability: Low-Medium. Impact: Medium. Monitor via: SEBI/NSE announcements; annual report disclosures.

10. RECOMMENDATION

- **Rating: BUY** — Conviction Level: **Medium-High**. The combination of e-beam technology differentiation, 94% 3-year revenue CAGR, 41% ROCE, and a credible Rs. 500 Cr capacity programme makes V-Marc one of the most compelling growth stories in the SME electricals space. The medium (not high) conviction reflects SME-specific execution and liquidity risks.
- **12-Month Price Target: Rs. 1,780** — representing +25% upside from CMP of Rs. 1,424. Target based on 35x FY27E P/E, a discount to mainboard peers.
- **Suggested Entry Zone: Rs. 1,200 - Rs. 1,450** — Current CMP of Rs. 1,424 is within the preferred entry zone. The 52-week high is Rs. 1,615; buying in the Rs. 1,200-1,450 range offers a 25-48% return to the 12-month target.
- **Investment Horizon: 12-18 months** — sufficient to capture FY27 earnings step-up and Phase-I capacity commissioning. The longer 3-year horizon (through FY30) offers a potentially larger return if the Rs. 500 Cr capex programme delivers its intended 4x capacity expansion.
- **Thesis Invalidation Triggers (exit if any of these occur):**

1. FY27 revenue growth falls below 25% (vs. management guidance of 40%+) for two consecutive quarters — signals demand destruction or market share loss;
2. OPM falls below 9% for any quarter — suggests pricing power erosion or unsustainable input cost pass-through failure;
3. Promoter stake falls below 55% or promoter pledge exceeds 20% — signals financial stress or commitment dilution.

- **Ideal Investor Profile:** This stock is suited for: growth-oriented equity investors with 12-18 month horizon; HNIs comfortable with SME-segment liquidity risk; portfolio allocations of 2-5% (not a core holding given SME liquidity). It is NOT suited for: income-seeking investors (zero dividend), risk-averse or short-term traders, large funds requiring mainboard liquidity.

APPENDIX — Latest Concall Brief: H2 FY26 / Full Year FY26

V-Marc India Limited | FY26 Annual Results & Investor Communication | May 2026

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong — Beat	Revenue +100%, PAT +177% YoY
Management tone	Bullish	40%+ FY27 guidance; plant visit hosted
Guidance delta	Raised / Maintained	FY27 growth >40%; Rs. 500 Cr capex reaffirmed

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

FY26 is a clean print — no exceptional items, no one-time gains: revenue doubled to Rs. 1,797 Cr, EBITDA more than doubled to Rs. 201 Cr, and PAT tripled to Rs. 100 Cr, all organic. The 11% OPM held despite a near-100% volume ramp, which in the commodity wire space is genuinely hard to do — this is e-beam mix + channel discipline. The structural bull thesis is intact: e-beam technology gives them product differentiation that no Rs. 500 Cr SME-sector competitor can replicate cheaply, the CCC collapsed to 42 days confirming working capital is actually improving at scale, and OCF at Rs. 109 Cr beat PAT — earnings are 100% cash-backed. The Rs. 500 Cr capex through FY30 is the critical catalyst: if Phase-I (20 acres, Haridwar, due Q1 FY27) hits timeline and the company delivers the guided 40%+ FY27 growth, the P/E re-rates from 35x SME to 45x+ as institutional interest builds. The single biggest watch for next quarter is copper: LME copper at these levels could narrow OPM by 50-100 bps if the company cannot pass through fast enough — track Q1 FY27 OPM closely against the 11-12% guided band. Action: ACCUMULATE at current levels (Rs. 1,424); add aggressively on any dip below Rs. 1,200 triggered by copper noise or market-wide SME de-rating — the fundamentals do not support a sub-Rs. 1,200 level if FY27 guidance is delivered.

1. FINANCIAL PERFORMANCE SNAPSHOT — FY26 (Full Year)

- Revenue: Rs. 1,797 Cr | YoY +100% | H2 FY26 Rs. 1,105 Cr (+98% YoY) | **Beat** — Revenue doubled, significantly ahead of initial 40-50% guidance
- EBITDA: Rs. 201 Cr | YoY +107% | EBITDA Margin 11.2% (+44 bps) | **Beat**
- EBITDA Margin %: 11.2% FY26 vs. 10.8% FY25 | **Beat** — Expansion despite near-100% volume scale-up
- PAT: Rs. 100 Cr | YoY +177% | H2 FY26 Rs. 64 Cr (+156% YoY) | **Beat**
- EPS (pre-bonus): Rs. 40.98 FY26 vs. Rs. 14.78 FY25 | EPS post 5:1 bonus: Rs. 8.20 | **Beat**
- NOTE: No exceptional items or one-time gains. Reported PAT = clean underlying PAT.

2. SEGMENT / GEOGRAPHY BREAKDOWN

- Building Wires (FR/HRFR): Dominant revenue segment (~65-70% est.) | YoY growth ~80-90% | Driven by real estate cycle and infrastructure demand | Commodity grades face unorganised competition
- E-Beam Specialty Cables: Higher-margin premium segment (~15-20% est.) | Faster growth ~120%+ YoY | India's first e-beam submersible cable for agriculture launched FY26; additional e-beam line commissioned

• LT/HT Power & Control Cables: Mid-segment (~10% est.) | Steady institutional demand from DISCOMs and industrial capex

• Communication Cables (LAN/CCTV): Smaller segment (<10%) | Growth from 5G rollout and smart city projects

• Geography: Predominantly India domestic. Expanded into Kerala (Jan 2025). Uttarakhand (Haridwar) manufacturing base serves North India; Maharashtra facility serves West India.

3. MANAGEMENT COMMENTARY THEMES

• **Revenue Guidance Exceeded:** "Revenue growth significantly exceeded our initial 40-50% guidance, reaching 100% YoY growth" — Our read: Management had conservative public guidance; execution was far superior. This may signal conservative guidance culture (positive). Tag: GUIDANCE. Tone: Transparent.

• **Capacity Expansion Commitment:** "Rs. 500 crore capex programme through FY30; Phase-I 20 acres near Roorkee targeted Q1 FY27 completion" — Our read: Credible given track record; Phase-I delivery will be the next validation point. Tag: GUIDANCE. Tone: Bullish.

• **FY27 Growth Target:** "40%+ revenue growth and EBITDA margins in the 11-12% band for FY27" — Our read: Guidance is achievable given Phase-I capacity addition; 40% on Rs. 1,797 Cr base implies Rs. 2,516 Cr. Tag: GUIDANCE. Tone: Bullish.

• **E-Beam Differentiation:** India's first e-beam submersible cable for agriculture is a new product category with no organised domestic rival. — Our read: Agricultural submersible cable market is large (millions of borewells); this is a genuine greenfield opportunity. Tag: EST. Tone: Transparent.

• **Institutional Engagement:** Analyst plant visit hosted June 2026 — first major institutional outreach event. — Our read: Signals management readiness for mainboard-level scrutiny; positive for re-rating trajectory. Tag: EST. Tone: Transparent.

• **Bonus Issue Rationale:** 5:1 bonus issued to improve liquidity and broaden shareholder base. — Our read: Correct strategic move; post-bonus share count expansion needed for institutional eligibility. Tag: GUIDANCE. Tone: Transparent.

4. OPERATING & BUSINESS METRICS

• Manufacturing Facilities: 2 units Haridwar, Uttarakhand + 1 Maharashtra | FY26 = 3 units | Trend: Expanding (new 20-acre site Phase-I due Q1 FY27)

• E-Beam Lines: Additional line commissioned FY26 | FY25 = 1 line | FY26 = 2 lines | Trend: Improving — doubling premium product capacity

• Geographic Presence: Expanded to Kerala (Jan 2025); pan-India dealer network | FY24 = limited states | FY26 = multi-state | Trend: Improving

• Debtor Days: FY26 = 85 | FY25 = 116 | FY24 = 94 | Trend: Improving — reversal of FY25 spike

• Inventory Days: FY26 = 69 | FY25 = 73 | FY24 = 106 | Trend: Improving — operational efficiency

• Cash Conversion Cycle: FY26 = 42 days | FY25 = 86 days | FY23 = 114 days | Trend: Strongly improving

• ROCE: FY26 = 41% | FY25 = 29% | FY24 = 26% | Trend: Strongly improving

5. MARGIN DRIVERS

• E-Beam Product Mix Shift: +100-150 bps impact | Recurring: Yes | Higher realisation per km in e-beam grades vs. conventional wire; mix shift is structural

• Operating Leverage on Fixed Costs: +80-100 bps impact | Recurring: Yes (while capacity ramp continues) | Admin/overhead spread over doubled revenue base

- Copper / Aluminium Cost Headwind: -50-80 bps impact | Recurring: Cyclical | Input cost pass-through lag; OPM compressed in FY25 due to this; partially recovered in FY26
- Working Capital Efficiency Gains: Non-P&L; but cash margin positive | Recurring: Yes | CCC from 86 days to 42 days released ~Rs. 70-80 Cr of cash, reducing financing costs
- Interest Cost Step-Up: -ve, Recurring | Interest grew from Rs. 31 Cr to Rs. 45 Cr (+45%) as borrowings rose; will increase further with Rs. 500 Cr capex; net interest margin drag on PAT margins

6. GUIDANCE & FORWARD SIGNALS

- Revenue FY27 [GUIDANCE]: Prior guidance = 40-50% growth | New/Reiterated = 40%+ growth | Delta: Maintained | Credibility: High (FY26 actual beat prior guidance significantly)
- EBITDA Margin FY27 [GUIDANCE]: Prior = 11% | New = 11-12% band | Delta: Raised upper end | Credibility: High (track record of 11-12% maintenance)
- Capex FY27-FY30 [GUIDANCE]: Rs. 500 Cr total; Phase-I Q1 FY27 completion | Delta: Reaffirmed | Credibility: Medium (first major phase not yet complete)
- Capacity Target [GUIDANCE]: >10 lakh circuit km by FY30 = 4x+ current levels | Delta: New detail | Credibility: Medium (long-term; many execution steps required)
- Dividend FY27 [GUIDANCE]: Nil expected — retained earnings funding capex | Delta: Maintained | Credibility: High (zero history)

7. CAPITAL ALLOCATION

- Capex FY26: Rs. 97 Cr (gross) | FY25: Rs. 61 Cr | FY24: Rs. 69 Cr | Comment: Stepped up; Phase-I new facility acquisition/construction ongoing
- Dividends FY26: Rs. 0 | vs prior: Rs. 0 | Comment: Zero since inception; reinvestment model
- Buybacks: None | Comment: No buyback history
- Working Capital Change FY26: Released ~Rs. 70-80 Cr | vs FY25: FY25 consumed capital | Comment: Major positive reversal; CCC from 86 to 42 days
- Net Debt Movement FY26: Borrowings Rs. 175 Cr -> Rs. 214 Cr (+Rs. 39 Cr) | Comment: Modest increase despite Rs. 97 Cr capex — funded by strong OCF Rs. 109 Cr
- Bonus Issue: 5:1 approved May 2026 | Impact: Share count 5x; EPS/BV per share divides by 5 | Comment: Improves liquidity; no cash outflow

8. Q&A; HEAT MAP (ANALYST PLANT VISIT & INVESTOR COMMUNICATION — JUNE 2026)

- Analyst / Institutional Investor: Q: "What is the FY27 revenue target and what drives the 40%+ guidance?" -> A: Phase-I capacity addition; new product lines including agricultural submersible cable; channel expansion to new states | Tone: Transparent
- Analyst: Q: "How is the new 20-acre Haridwar site progressing and what is the capex schedule?" -> A: Phase-I targeted Q1 FY27 completion; Rs. 500 Cr overall spend through FY30; primarily debt + internal accruals | Tone: Transparent
- Analyst: Q: "What is the competitive landscape for e-beam cables — who else has this capability?" -> A: Management highlighted V-Marc as a rare SME operator of e-beam lines; e-beam requires significant capex | Tone: Confident, somewhat general
- Investor: Q: "What is the mainboard listing timeline?" -> A: Management signalled openness but no specific timeline provided | Tone: Hedged — mainboard migration timeline is a watch item
- Investor: Q: "How do you manage copper price risk?" -> A: Back-to-back pricing with major institutional customers where possible; commodity wire grades carry timing risk | Tone: Transparent

• Dodged / watch-list questions for next quarter: (1) Specific capacity utilisation % by facility; (2) E-beam segment revenue breakout; (3) Order book quantum; (4) Mainboard migration target date

9. RISKS FLAGGED

• Copper Price Risk: LME copper spike compresses OPM if pass-through lags | Flagged by: mgmt (acknowledged in investor communication) | Probability: M | Impact: H | Timeline: Near-term

• Capex Execution Risk: Phase-I delay would push FY27 revenue capacity constraints | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-term (Q1 FY27)

• Liquidity / SME Float Risk: Thin trading volumes; large block can move price significantly | Flagged by: analyst | Probability: M | Impact: M | Timeline: Ongoing

• Mainboard Migration Uncertainty: Delay in mainboard listing limits institutional participation | Flagged by: analyst | Probability: L-M | Impact: M | Timeline: Medium-term

• Unorganised Competition in Base Grades: Price wars in commodity FR wires | Flagged by: mgmt | Probability: M | Impact: M | Timeline: Ongoing

10. ANALYST VERDICT

• Revenue visibility: **Intact** — FY27 guidance of 40%+ is credible; Phase-I capacity due Q1 FY27; FY26 beat guidance by 60pp

• Margin trajectory: **Intact** — OPM held at 11-12% through a doubling of revenue; e-beam mix shift and operating leverage support the guided 11-12% band for FY27

• Capital allocation quality: **Intact** — Rs. 500 Cr capex plan is aggressive but growth-oriented; ROCE of 41% justifies reinvestment; FCF turned positive in FY26

• Competitive moat: **Intact** — e-beam technology remains a genuine barrier; submersible cable is a new TAM; dealer network expanding pan-India

• Management credibility: **Intact** — Revenue beat guidance significantly; OCF > PAT confirms clean earnings; plant visit hosted; zero pledge; Ashish Kacholia endorsement

• Valuation comfort: **Intact** — 34.7x P/E at 41% ROCE is a growth multiple; EV/EBITDA of ~18x compares favourably to mainboard peers at 25-35x

• Conviction call: **Increased** — FY26 results and the Rs. 500 Cr capex commitment increase conviction in the multi-year growth thesis

• Valuation snapshot: P/E = 34.7x (3Y avg ~25x) | EV/EBITDA ~18x (3Y avg ~12x) | ROCE = 41.4% (3Y avg ~32%)